

Week 6 Capstone Progress Documentation

PW26_MG_02

Overview

During Week 6, we strengthened our project validation by incorporating real-world industry insights, as recommended by the panel during Phase 2 Review-1. To achieve this, we interacted with our college alumni who has worked on a similar GenAI-driven investment reasoning platform called **Kshana**. This discussion was highly valuable, as it confirmed that our capstone project is addressing a critical and still unsolved problem in trustworthy financial AI.

Industry Background: Kshana

Our alumni introduced us to **Kshana** (Sanskrit: क्षण), meaning a “moment in time” or an instant of heightened awareness. Kshana positions itself as a next-generation financial intelligence platform that goes beyond answering “*what is happening in markets*” (prices, fundamentals, flows) and instead focuses on uncovering “*why it is happening*.”

Powered by its proprietary **Foundational Investment Reasoning Engine (FIRE)**, Kshana’s AI agents continuously monitor market conditions, extract economically meaningful signals, and propose next-best actions and trade setups in real time. The alumni also shared how the company is backed by experienced founders and prominent advisors from global finance and technology ecosystems.

Key Discussion: Validation of Our Project Problem

During our conversation, the alumni appreciated the direction of our project and agreed that we are solving a genuine limitation that even advanced industry products like Kshana still face today. They emphasized that while GenAI investing systems are promising, several core challenges remain unresolved.

Major Limitations Highlighted

1. Model Risk and Hallucination

The alumni explained that LLM-based reasoning can hallucinate causal links, overfit narratives, or confuse correlation with causation. In finance, a convincing but wrong explanation can be more harmful than no explanation.

2. Regulatory-Grade Explainability Gap

They also pointed out that regulators demand deterministic and audit-ready decision paths, which current reasoning engines cannot always guarantee.

3. Dependency on Data Quality

Since these systems ingest broker reports, earnings transcripts, and news, biased or misleading inputs can significantly impact outputs, reinforcing the garbage-in-garbage-out issue.

4. Structural Market Challenges

The alumni discussed alpha decay, trust barriers among senior fund managers, latency constraints for HFT use-cases, and competitive pressure from incumbents like Bloomberg.

Conclusion and Reflection

Overall, Week 6 was a major milestone in strengthening the industry relevance of our capstone project. Our alumni interaction confirmed that the limitations we aim to solve—hallucination control, regulatory explainability, and trustworthy decision-making—remain urgent and unsolved even in cutting-edge GenAI investing platforms. This strongly validates the long-term impact potential of our work.